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# BrAINWARS 2026

## Case part 2 submission

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# CASE STUDY SUMMARY & PROBLEM

Strategic Framing: Situation, Complications, Questions, and Recommended Answers

| SITUATION                                                                                                                                                                            | COMPLICATIONS                                                                                                                                                                | QUESTION                                                                                                                  | ANSWER                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1<br>PulseX (\$107.5M approved) enters India as priority market with hybrid GTM (D2C + retail + gym). Now moves into execution phase with board-level accountability.                | Board capped Y1 investment at \$12M - lower than the proposed \$15M+. Requires sharply prioritised, commercially grounded plan with clear ROI logic.                         | Q1: Which product(s) should PulseX lead with in India to maximise volume, LTV, and brand reach within Y1 budget?          | ★ INDIA Y1<br>Watch-led (70% vol, ~350K units) + Ring as subscription engine (24%, ~120K). Defer Chest Band to Y2. 3-month PulseAI trial bundled with Watch D2C.                     |
| 2<br>500K device demand projected for Y1. Multi-sport watches dominate Indian wearable market. Recovery devices (Ring) show high subscription attachment rates in analogous markets. | Ring standalone conversion is inconsistent without guided use cases or onboarding. Retail onboarding costs are disproportionately high for Y1 at sub-scale volumes.          | Q2: How should the \$12M Y1 budget be allocated across retail, digital, AI/compliance, manufacturing, and ecosystem bets? | ★ BUDGET MIX<br>Digital \$3M (25%) · AI/Compliance \$2.8M (23%) · Retail \$2.5M (21%) · Ecosystem \$2M (17%) · Mfg \$1.7M (14%). Digital + AI = 48% — core defensibility.            |
| 3<br>AI-first brand positioning approved. PulseAI is PulseX's defensible differentiator. No predictive AI ecosystem leader currently exists in the Indian wearables market.          | DPDP Act data localisation requires dedicated compliance investment. AI model must be retrained on India-specific health data before it delivers meaningful personalisation. | Additional: How does device + PulseAI integration build a defensible data moat and competitive barrier over 2–3 years?    | ★ DATA MOAT<br>Y1: seed longitudinal data → Y2: cross-device AI features (Watch+Ring) → Y3: enterprise B2B API moat. Switching cost = lost personalisation history & health insights |

Board capped Y1 at \$12M | Hybrid GTM approved | AI-first positioning confirmed

# INDIA MARKET OVERVIEW & PRODUCT ECOSYSTEM

Market dynamics, competitive landscape, and PulseX product portfolio for India entry

## INDIAN MARKET DYNAMICS

-5%

ASP vs. North America  
(India price adjustment)

\$40

CAC Per User  
(case benchmark)

\$3M

Market Setup Cost  
(Y1 entry investment)

500K

Y1 Device Demand  
(PulseX projection)

**Key Takeaway:** India digital health readiness score: **0.72** (2nd globally) · Urban TAM: **15–20M** health-conscious consumers · No predictive AI ecosystem leader exists in market.

**Ecosystem Stickiness:** Unlike standalone wearables, the PulseAI subscription creates a high switching cost, moving the business model from "one-time hardware sale" to "recurring high-margin revenue."

## COMPETITIVE LANDSCAPE

### Fire-Boltt / boAt / Noise

Price-led mass market dominance. Wide distribution. No AI/predictive differentiation. Vulnerable to premium migration.

### Fitbit / Whoop

Consumer fitness tracking, strong health data. Google ecosystem integration. Weak India distribution and AI localization.

### Ultrahuman ★ Closest

Sleep + metabolic insights. Premium niche. Closest competitor to Ring. No cross-device intelligence or ecosystem breadth.

### Apple / Samsung / OnePlus

Ecosystem wearables, large installed base. Superior brand recognition. Limited health depth; no preventive AI positioning.

## PRODUCT ECOSYSTEM

### Watch

Volume anchor · D2C + retail · Brand awareness driver · 350K Y1 target · Multi-sport use cases · First-time buyer gateway

### Ring ★

**\$158 ASP | \$68 GP | 43% GM**

Subscription engine · Highest PulseAI attach rate (55–65%) · Gym-guided onboarding solves standalone conversion gap

### Chest Band

Defer to Y2 · Niche TAM only · No guided onboarding ecosystem in Y1 · Best as Y2 gym bundle add-on · 30K exploratory only

### PulseAI

**\$112/yr | \$84 GP/sub | 75% GM**

Core defensibility · 'Predict, not track' positioning · DPDP-compliant India retraining · 200K Y1 subs target · Data moat foundation

Market gap: No predictive AI ecosystem leader in India → PulseX opportunity to own the 'Predict, not track' positioning

# Q1 —PRODUCT MIX: WHICH PRODUCTS TO LEAD WITH IN INDIA

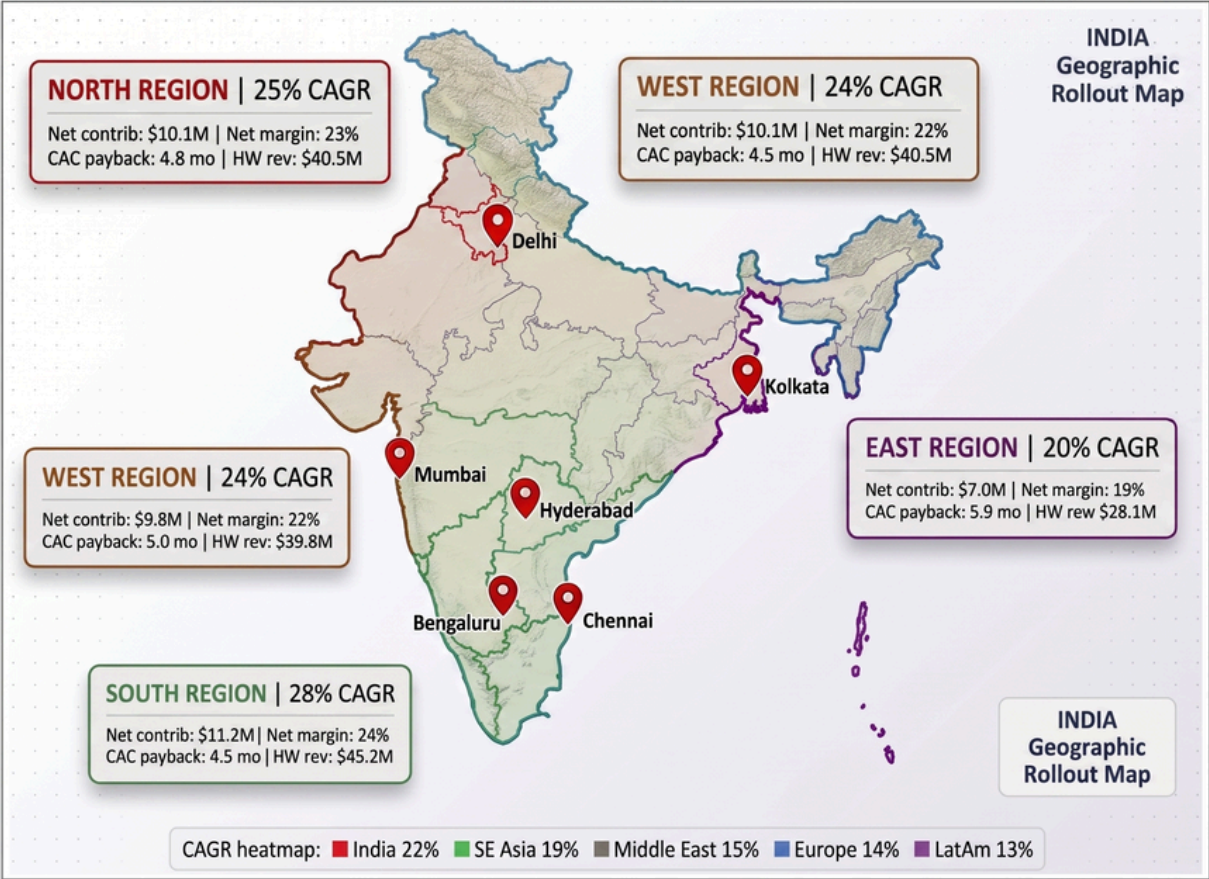
Recommendation: Watch as volume anchor + Ring as subscription engine · Defer Chest Band to Y2

| Product    | Y1 Target   | India ASP | Channel Mix                                                                                       | Sub Attach     | Strategic Role                                                                                                                                                                      | Verdict  |
|------------|-------------|-----------|---------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| Watch      | ~350K (70%) | \$201     | 55% D2C (Amazon/Flipkart/pulsex.in)<br>35% Retail (Croma, Reliance Digital)<br>10% Gym bundles    | 30–35% PulseAI | Brand anchor. First-time buyer gateway. Drives volume, retailer relationships, and awareness at scale. Bundles 3-month PulseAI free trial at D2C checkout to seed subscription.     | LAUNCH   |
| Ring       | ~120K (24%) | \$158     | 70% D2C (guided digital onboarding)<br>30% Gym B2B (Cult.fit, Gold's Gym)<br>No retail standalone | 55–65% PulseAI | Subscription LTV engine. Highest retention and PulseAI attach. Gym partnerships solve standalone conversion gap through guided onboarding programs. Premium positioning reinforced. | LAUNCH   |
| Chest Band | ~30K (6%)   | \$99      | Hold — evaluate Y2 gym bundle integration<br>No retail in Y1                                      | ~45% (est.)    | Niche TAM. No guided onboarding ecosystem in Y1. Low volume scale prevents retail viability. Better positioned as Y2 gym add-on when gym network is established (50–80 centres).    | DEFER Y2 |

## VOLUME vs. SUBSCRIPTION TRADE-OFF

Watch maximises volume and brand reach but carries lower PulseAI sub attach (~30%). Ring maximises LTV and subscription margin (~60% attach) but requires guided onboarding to convert at scale. Mitigation: bundle 3-month PulseAI free trial with every Watch at D2C checkout to drive subscription seeding across both SKUs simultaneously.

# 04 | INDIA LAUNCH ROADMAP — GEOGRAPHIC ROLLOUT STRATEGY



**PHASE 1 — Q1–Q2 FY26** Target: 300K units

## Metro Priority (6 Cities)

- Mumbai, Delhi-NCR, Bengaluru + app launch
- Watch launch vi Croma, Reliance Digital (15–20 stores)
  - Ring exclusive D2C – premium, invite-only waitlist
  - 3–5 premium gym plot integrations (each metro)
  - Digital blitz: performance + influencer marketing

**PHASE 2 — Q3–Q4 FY26** Target: 200K units

## Tier 2 Expansion + Scale

- Expand retail to 50–80 stores nationally
- Introduce Ring to selective Tier 2 retail
- Scale gym partnerships to 40+ gyms
- Begin Chest Band pilot via gym-only channel
- Enterprise / corporate wellness B2B trials

## INDIA MARKET DYNAMICS

|                          |                           |                       |                          |
|--------------------------|---------------------------|-----------------------|--------------------------|
| -5%<br>ASP<br>Adjustment | \$40 ▲<br>CAC<br>Per User | \$3M<br>SetUp<br>Cost | 500K<br>Device<br>Demand |
|--------------------------|---------------------------|-----------------------|--------------------------|

# Q2 — \$12M BUDGET ALLOCATION ACROSS ECOSYSTEM EXPANSION

Prioritised allocation | What PulseX invests vs. defers | Capital efficiency rationale

| YEAR 1 BUDGET ALLOCATION — \$12M TOTAL |                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                           |
|----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <div>\$3.0M</div> <div>25%</div>       | <div>Digital Acquisition &amp; Brand-Building</div> <div>Performance marketing via Meta/Google, YouTube fitness influencer seeding, and pulsex.in D2C storefront development. India CPMs are structurally 40–60% lower than North America — enabling high-efficiency customer acquisition. Target: acquire first cohort at ≤\$40 blended CAC. Focus on urban metro audiences aged 25–40 with demonstrated health intent.</div> | <div>▶ Meta/Google performance spend, YouTube fitness influencers, pulsex.in storefront, retargeting funnels</div>        |
| <div>\$2.8M</div> <div>23%</div>       | <div>AI Model Dev, Retraining &amp; Compliance</div> <div>India-focused PulseAI retraining on local health data, with DPDP compliance, data localisation, BIS certification, and personalisation layer—non-negotiable as regulatory failure blocks GTM entirely.</div>                                                                                                                                                         | <div>▶ DPDP-compliant infra, India health data retraining (Month 3 start), BIS product certification, localised AI</div>  |
| <div>\$2.5M</div> <div>21%</div>       | <div>Retail Expansion &amp; Distribution</div> <div>Onboard 200–250 Tier 1 retailers (Croma, Reliance Digital, Vijay Sales) with strong in-store execution and 90-day support enabling trials for first-time buyers while avoiding Tier 2/3 in Year 1 due to weak brand pull and high returns.</div>                                                                                                                           | <div>▶ Select 250 Tier 1 stores only — resist Tier 2+ expansion in Y1. Retail staff training kits included.</div>         |
| <div>\$2.0M</div> <div>17%</div>       | <div>Ecosystem Bets — Gyms &amp; Enterprise Pilots</div> <div>50–80 premium gym integrations (Cult.fit, Gold’s Gym, boutiques) with guided Ring onboarding, plus 3–5 corporate pilots—driving conversion, habit formation, and building PulseAI’s long-term data moat in India.</div>                                                                                                                                          | <div>▶ Cult.fit / Gold’s Gym / boutique gyms for Ring. Enterprise pilots (Tata, Infosys campuses) for Band+data.</div>    |
| <div>\$1.7M</div> <div>14%</div>       | <div>Manufacturing Localisation &amp; Supply Chain</div> <div>PLI eligibility filing, vendor qualification, and tooling assessment—full localisation deferred until 1M+ units; at 500K, savings don’t justify capex. Y1 focuses on readiness for Y2–Y3 scale-up.</div>                                                                                                                                                         | <div>▶ PLI eligibility filing and vendor qualification only. Full capex deferred to Y2–Y3 at scale &gt;1M units/yr.</div> |

Total: \$12.0M | Digital + AI = 48% of budget (core defensibility) | Mfg localisation deferred — full ROI only at 1M+ units

# WHAT NOT TO PRIORITISE IN YEAR 1 —AND WHY

Clear sequencing: defer what doesn't generate returns at 500K unit scale · Reinvest in Y2–Y3 when justified

| Spend Area                                | Why Defer in Y1                                                                                                                                                                                                                 | Risk if Actioned                                                                                                                                                                           | When to Revisit                                                            |
|-------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| ✗ Full manufacturing localization (capex) | Low double-digit cost saving doesn't justify large upfront capex at 500K units. PLI exploration only.                                                                                                                           | Capex locked in; if demand is lower than 400K, ROI never materialises in Y1.                                                                                                               | Y2–Y3 at scale >1M units/yr                                                |
| ✗ Tier 2 / Tier 3 retail expansion        | High store onboarding cost per door. Insufficient brand pull in smaller markets without established D2C base.                                                                                                                   | Retailer inventory stuck; high return rates; brand damage in markets not ready for premium wearables.                                                                                      | Y2 once Tier 1 brand equity and sell-through proven                        |
| ✗ Chest Band wide launch                  | Niche TAM + no guided onboarding ecosystem = poor standalone conversion without gym integration.                                                                                                                                | Inventory left at retail; high returns; weakens brand credibility in a segment with intent but no ecosystem.                                                                               | Y2—bundled with gym partner rollout                                        |
| ✗ Enterprise wellness channels (at scale) | Long B2B sales cycles + high customisation cost. Valuable but not capital-efficient in Y1.                                                                                                                                      | Distraction from core consumer GTM; enterprise team cost without sufficient data leverage.                                                                                                 | 3–5 pilots only in Y1; scale Y2–Y3 with 200K+ subscriber data asset        |
| ✗ National TV / OOH Brand Advertising     | CAC too high relative to early cohort size (500K). Brand awareness insufficient to drive pull without confirmed D2C conversion rate and product-market fit. India CPMs on digital are 40–60% cheaper — far superior ROI for Y1. | Burns \$2–4M on impressions that don't convert without a proven D2C funnel. Brand recall wasted without product availability in Tier 2 markets. No measurability vs. performance channels. | Y2 — once D2C conversion rate proven (>3.5%) and 1st cohort NPS validated. |

Prioritize capital efficiency over premature scale: Deferring high-CAPEX and low-ROI channels to protect Y1 margins and ensure a lean, D2C-first market

# GTM CHANNEL ARCHITECTURE — HOW PULSEX GOES TO MARKET IN INDIA

Hybrid GTM: D2C primary + Gym B2B for Ring + selective Tier 1 retail · Telecom deferred to Y2

| Factor             | D2C Only             | Retail                   | Telecom                    | Gym B2B                 | Hybrid ★                   |
|--------------------|----------------------|--------------------------|----------------------------|-------------------------|----------------------------|
| Margin protection  | Full margin          | ~30% margin share        | Shared revenue split       | Band only (lower net)   | Full D2C + selective       |
| PulseAI onboarding | Direct at activation | Minimal in-store support | Dependent on telco systems | Gym demo + onboarding   | At activation + gym guided |
| Speed to market    | Fast                 | Fast to launch           | Slow (6–9 mo)              | Moderate (partner dep.) | Fast to market             |
| Data ownership     | 100%                 | ~Partial no behaviour    | Shared (telco sees data)   | ~Shared (gym layer)     | ~90% owned                 |
| Ring/Watch fit     | ✓ High               | ✓ OK for Watch           | ✗ Poor fit                 | ✓ Natural fit           | ✓ Best fit                 |
| India market fit   | ✓ High               | ✓ High (trial needed)    | ✗ Low Y1 readiness         | ✓ High (captive)        | ✓ Best fit                 |

CH1

D2C Primary: Amazon.in + Flipkart + pulsex.in

SKU: Ring + Watch | Full margin preserved | 100% data ownership | PulseAI onboarding triggered at activation | ~55% Y1 volume target. Efficiency advantage: India CPMs are structurally 40–60% lower than North America. D2C also enables direct feedback loop for product iteration and cohort analysis.

CH2

Gym B2B Enterprise: Cult.fit / Gold's Gym / Boutiques

SKU: Band + Ring bundles. Gym = distribution channel + pre-qualified subscriber pipeline. Net margin \$32.66/device via gym vs \$57.56 D2C (lower but volume-accretive). Gyms solve Ring standalone conversion gap through guided onboarding and habit formation. ~25% Y1 volume. Seeded data moat.

CH3

Telecom API: Jio / Airtel — Year 2 Only

Requires DPDP-compliant infrastructure (built in Phase 1) + 100K+ subscribers for negotiating leverage. PulseAI API value to telco = health engagement data + churn reduction. Deferred — not capital efficient in Y1. Reopen negotiations in Q4 Y1 once subscriber base and compliance infra are established.

# PULSEAI DATA MOAT — BUILDING A DEFENSIBLE FLYWHEEL OVER 2–3 YEARS

Launch: 'Predict, not track' positioning · Y2: Cross-device intelligence · Y3: Enterprise B2B data API

## PULSEAI POSITIONING: 4 OPTIONS EVALUATED

✕ REJECTED

### Performance Differentiator

Garmin/Whoop/Apple own this globally. Fighting incumbents on their strongest positioning = high CAC, low differentiation. TAM limited to 10–12M serious athletes in India. No AI defensibility vs. existing hardware spec wars.

★ LAUNCH

### Preventive Health — 'Predict, not track'

Unoccupied positioning in India. Maps directly to all PulseAI sensor + AI capabilities. India digital health readiness = 0.72 (2nd globally). Urban TAM: 15–20M health-conscious consumers. Differentiates on AI depth, not hardware specs.

→ YEAR 2

### Insurance Risk-Scoring Platform (IRDAI B2B)

IRDAI regulatory sandbox is a real enabling mechanism. Requires 200K+ subscriber data volume first. PulseX licenses anonymized risk scores to insurers via API — revenue additive to consumer subscription. High-margin B2B layer.

○ YEAR 3

### Enterprise Analytics Engine

Gym chains, corporate wellness providers, healthcare systems. Requires B2B sales capability + population-level dataset (500K+). NA enterprise 10% revenue base provides commercial template for India scaling.

## DATA MOAT NOTE

The moat is the AI model trained on longitudinal, simultaneous Band + Ring + Watch data from Indian users. A competitor starting today needs 2–4 years to accumulate comparable training volume. The switching cost for users = lost personalisation history and health predictions built over months. This is a time-based advantage — not permanent, but materially defensible through Y3.

## 36-MONTH DATA MOAT IMPLEMENTATION ROADMAP

| YEAR 1: SEED                                                 | YEAR 2: COMPOUND                                             | YEAR 3: MOAT                                                        |
|--------------------------------------------------------------|--------------------------------------------------------------|---------------------------------------------------------------------|
| DPDP Act Compliance & BIS Certification (pre-launch)         | Cross-device AI features (Watch + Ring intelligence layer)   | Enterprise Analytics API launch (gym chains, HR platforms)          |
| Watch + Ring D2C Launch (55% D2C + 35% Retail mix)           | IRDAI Insurance B2B pilot (anonymized risk scoring API)      | Full manufacturing localisation (PLI capex at 1M+ units)            |
| 50–80 gym B2B integrations (Cult.fit, Gold's Gym)            | Tier 2 city retail expansion (brand equity proven)           | B2B health data licensing at scale (population insights)            |
| PulseAI India \$112/yr subscription launch                   | Chest Band launch via established gym channel                | Market leadership consolidation — AI moat is 3–4 yr lead            |
| India-specific AI model retraining starts Month 3            | Telecom API partnership (Jio/Airtel) enabled by DPDP infra   | Competitor data deficit: 2–4 years to build equivalent training set |
| Collect 200K+ longitudinal health profiles (Watch+Ring data) | 250K+ subscriber data asset enables enterprise conversations | PulseX positioned as India's preventive health platform             |

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**THANK YOU!**